Solution

Adjusting entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2016	Bad debts A/c	Dr.		2,500	
March 31	To Sundry debtors A/c				2,500
	(Bad debts written off)				

Dr. Profit and loss account for the year ended 31st March, 2016 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Bad debts	1,000				
Add: Additional bad debts	2,500	3,500			

Balance Sheet as on 31st March, 2016

Liabilities	₹	₹	Assets	₹	₹
			Sundry debtors	26,000	
			Less: Additional Bad debts	2,500	23,500

Illustration 5

An abstract of the trial balance as on 31st December, 2016 is as follows:

Particulars	₹
Sundry Debtors	20,000
Bad debts	500

Adjustment: Create a provision for bad and doubtful debts @ 5% on sundry debtors. Pass the adjusting entry and show how these items will appear in final accounts.

Solution

Provision for bad and doubtful debts = ₹ 20,000 x 5/100 = ₹ 1,000

Adjusting entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2016	Profit and loss A/c	Dr.		1,000	
Dec. 31	To Provision for bad and doubtful debts A/c				1,000
	(Provision for bad and doubtful debts created)				

Dr. Profit and loss account for the year ended 31st December, 2016 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Bad debts		500			
Add: Provision for bad and doubtful debts		1,000			

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